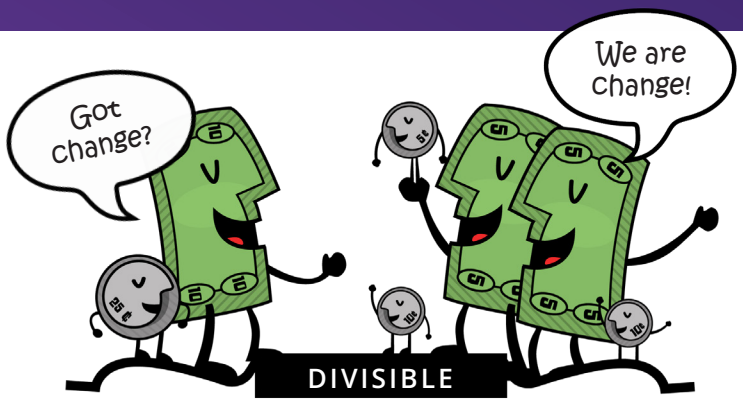
- ***Divisibility*** refers to the ability of money to be divided into smaller units, so that people can use it to make purchases of varying amounts.

Paper bills can be easily divided into smaller denominations, making them a good representation of the divisibility characteristic of money.



Overall, these characteristics make money a useful and effective tool for facilitating trade and commerce, and they are essential for the development and stability of economies.

Class Exercise. Different assets have different properties and perform the functions of money to varying degrees. Society ultimately determines which asset is used as money based on factors such as its stability, scarcity, divisibility, transferability, and acceptance as a medium of exchange.

To determine how well different items meet the specific characteristics of money, you can score each item on a scale from 1 to 5 for each characteristic. By tallying up the scores for each item, you can determine which one is best suited to be a form of money.

[0 = Terrible; 3 = Okay; 5 = Excellent]

*** Please do not fill in the column for *Bitcoin*; we will return to it later in the course.**

Use the following questions to help you determine how well the different items in the table meet the characteristics of money.

- ***Durability***: Can the money withstand wear and tear over time?
- ***Portability***: Can the money be easily transported and used in different locations?
- ***Fungibility***: Is the money interchangeable with other forms of money?
- ***Acceptability***: Is the money widely accepted as a form of payment?
- ***Scarcity***: Is the money scarce and not too abundant?
- ***Divisibility***: Can the money be divided into smaller units for transactions?